2-1a Chart of Accounts

A group of accounts for a business entity is called a **ledger** (A group of accounts for a business.) . A list of the accounts in the ledger is called a **chart of accounts** (A list of the accounts in the ledger.) . The accounts are normally listed in the order in which they appear in the financial statements. The balance sheet accounts are listed first, in the order of assets, liabilities, and stockholders' equity. The income statement accounts are then listed in the order of revenues and expenses.

Assets

Assets are resources owned by the business entity. These resources can be physical items, such as cash and supplies, or intangibles that have value. Examples of intangible assets include patent rights, copyrights, and trademarks. Assets also include accounts receivable, prepaid expenses (such as insurance), buildings, equipment, and land.

Liabilities

Liabilities are debts owed to outsiders (creditors). Liabilities are often identified on the balance sheet by titles that include *payable*. Examples of liabilities include accounts payable, notes payable, and wages payable. Cash received before services are delivered creates a liability to perform the services. These future service commitments are called *unearned revenues*. Examples of *unearned revenues* include magazine subscriptions received by a publisher and tuition received at the beginning of a term by a college.

Stockholders' Equity

Stockholders' equity is the stockholders' right to the assets of the business. Stockholders' equity is represented by the balance of the **common stock** and **retained earnings** accounts. A **dividends** account represents distributions of earnings to stockholders.

Revenues

Revenues are increases in assets and stockholders' equity as a result of selling services or products to customers. Examples of revenues include fees earned, fares earned, commissions revenue, and rent revenue.

Expenses

Expenses result from using up assets or consuming services in the process of generating revenues. Examples of expenses include wages expense, rent expense, utilities expense, supplies expense, and miscellaneous expense.

Illustration of Chart of Accounts

A chart of accounts should meet the needs of a company's managers and other users of its financial statements. The accounts within the chart of accounts are numbered for use as references. A numbering system is normally used, so that new accounts can be added without affecting other account numbers.

Exhibit 2 is **NetSolutions**' chart of accounts that is used in this chapter. Additional accounts will be introduced in later chapters. In Exhibit 2, each account number has two digits. The first digit indicates the major account group of the ledger in which the account is located. Accounts beginning with 1 represent assets; 2, liabilities; 3, stockholders' equity; 4, revenue; and 5, expenses. The second digit indicates the location of the account within its group.

Exhibit 2

Chart of Accounts for NetSolutions

Balance Sheet Accounts	Income Statement Accounts
1. Assets	**4. Revenue**
11 Cash	41 Fees Earned
12 Accounts Receivable	**5. Expenses**
14 Supplies	51 Wages Expense
15 Prepaid Insurance	52 Supplies Expense
17 Land	53 Rent Expense
18 Office Equipment	54 Utilities Expense
2. Liabilities	59 Miscellaneous Expense
21 Accounts Payable	
23 Unearned Rent	
3. Stockholders' Equity	
31 Common Stock	
32 Retained Earnings	
33 Dividends	

Each of the columns in Exhibit 1 has been assigned an account number in the chart of accounts shown in Exhibit 2. In addition, Accounts Receivable, Prepaid Insurance, Office Equipment, Unearned Rent, and Retained Earnings have been added. These accounts will be used in recording NetSolutions' December transactions.